Motilal Oswal Financial Services Ltd

BUY

NSE: MOFSL | Financial Services / Capital Markets

CMP	TARGET PRICE	MARKET CAP	MARKET CAP CATEGORY	SAARTHI SCORE	PROB. WEIGHTED TP
₹822.90	₹1,127	₹49,079 Cr	Mid Cap	72/100	₹1,109
As of 28/04/2026	12M upside case		Financial Services leader	BUY (70-84 range)	

Report Reference: Q2 FY2025-26 | 28/04/2026

"MOFSL - BUY"

Investment Thesis

ARR Transformation

ARR at 65% of net revenues (up from 61%); fee-based at 45%. Annuity income reduces transaction-cycle volatility.

Profitability Momentum

Q2FY25 PAT INR 1,242 Cr (+123% YoY); H1FY26 operating PAT INR 1,088 Cr (+11% YoY); Asset & PWM businesses leading at +32% PAT growth.

AUM Scale and Outperformance

Total AUM INR 1.77L Cr (+46% YoY). AMC AUM INR 1.89L Cr (+33%) with INR 11,610 Cr net flows. 91% of AUM outperforming benchmarks over 3 years.

Private Wealth Expansion

PWM AUM INR 1.96L Cr (+31% YoY); family count +41% YoY; PAT +14% (9M). Distribution book +34% YoY to INR 42,775 Cr.

Valuation Opportunity

CMP INR 822.90 vs consensus TP INR 1,126.67 (max INR 1,200) — 37% upside. Probability-weighted target INR 1,109.

Credit Upgrade

Long-term credit rating upgraded to AA+ (Stable) by ICRA. Net worth INR 12,871 Cr (+16% YoY).

FINANCIAL SUMMARY (INR CRORE)

Metric	FY24A	FY25A	FY26E	FY27E
Revenue	₹7,106.0	₹8,340.0	₹10,402.0	₹12,973.0
EBITDA	₹4,082.0	₹4,546.0	₹5,439.0	₹6,784.0
EBITDA Mgn	57.4%	54.5%	52.3%	52.3%
PAT	₹2,441.0	₹2,502.0	₹3,066.0	₹3,983.0
PAT Mgn	34.4%	30.0%	29.5%	30.7%
EPS	₹41.0	₹41.7	₹51.2	₹66.5
P/E	20.1x	19.7x	16.1x	12.4x
P/B	5.6x	4.5x	3.6x	2.9x
EV/EBITDA	9.5x	11.4x	12.7x	10.5x

H1 FY26 SNAPSHOT

Consol. Net Revenue	₹2,888 Cr
Operating PAT	₹1,088 Cr (+11% YoY)
ARR % of Net Revenue	65%
Fee-Based % of Revenue	45%
EPS FY25 Annual	₹51.2

KEY VALUATION METRICS

P/E (TTM)	24.20x
P/B Ratio	3.82x
EPS (FY25A)	₹41.7
EPS (FY27E)	₹66.5

ANALYST CONSENSUS

Consensus TP	₹1,127
Max Target	₹1,200

KEY OPERATING STATS

Total AUM	₹1.77L Cr
AMC AUM	₹1.89L Cr
Pvt Wealth AUM	₹1.96L Cr

CREDIT RATING

ICRA Rating	AA+
Outlook	Stable

ARR INFLECTION WATCH

65%

ARR of total net revenues. Re-rating trigger: 70%+ ARR.

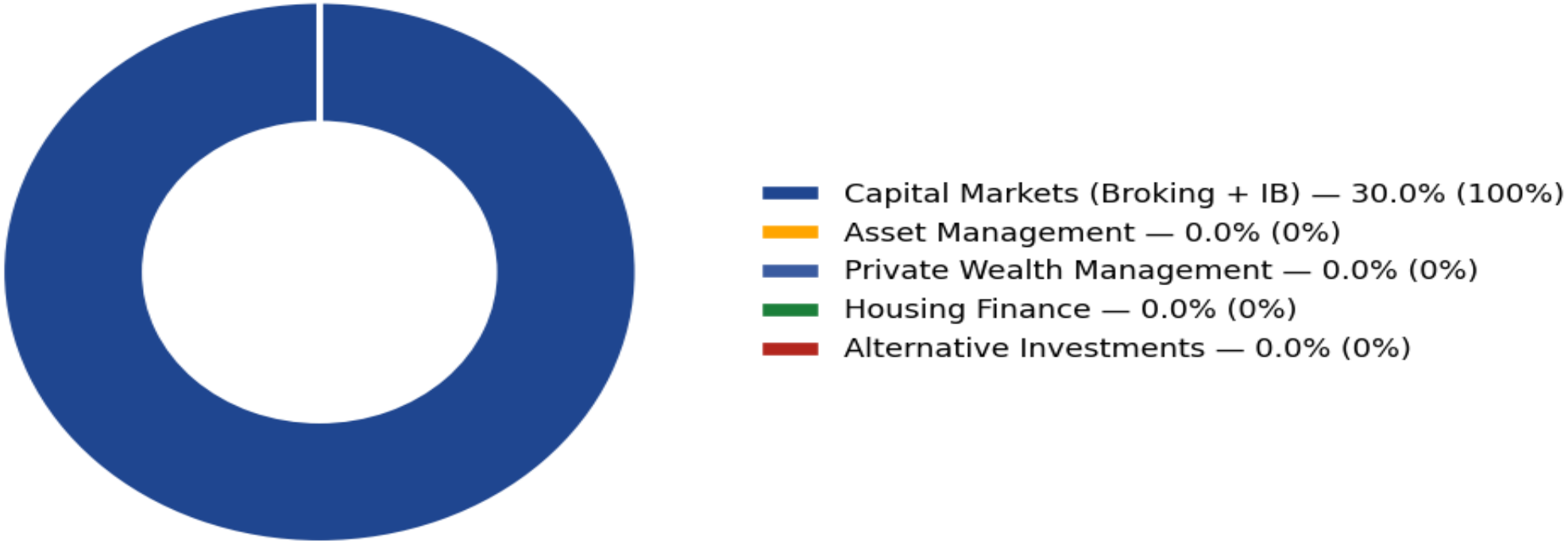
02 Investment Thesis

We initiate coverage on Motilal Oswal Financial Services with a BUY rating. The company is undergoing a fundamental transformation from a cyclical broking business to a high-quality, annuity-driven financial services platform. This structural shift in revenue mix significantly improves earnings quality and visibility, yet remains underappreciated by the market. The current valuation offers an attractive entry point as the company continues to scale its asset management and wealth businesses while maintaining strong profitability metrics.

- Revenue quality transformation: The shift toward annuity-based revenues substantially reduces earnings volatility and imp...
- Strong AUM momentum: Both asset management and private wealth segments are growing rapidly with impressive benchmark outp...
- Balance sheet strength: Credit rating upgrade to AA+ reflects financial stability and enhanced reinvestment capacity
- Operational efficiency: Significant operating leverage potential as the business scales on largely fixed cost base
- Industry tailwinds: Structurally advantaged by India's expanding HNWI population and increasing financialization
- Attractive valuation: Current market price offers substantial discount to probability-weighted target despite quality imp...

03 Revenue Transformation Underway

Revenue Mix FY25



Source: Tikona Capital model

04 Indian Financial Services: Structural Growth Runway

India's financial services sector represents a core enabler of the country's growth story, with particularly strong prospects in wealth and asset management. The sector is undergoing profound transformation driven by rising incomes, expanding investor participation, and increasing financialization of savings. Financial services companies with established brands, distribution networks, and product capabilities are positioned to capture disproportionate value as the industry expands. This structural tailwind provides a multi-year growth runway for well-positioned players like Motilal Oswal.

- India projected to become the fourth-largest private wealth market globally by 2028 with significant HNWI expansion
- Financial services sector profits expected to nearly double by FY30, with NBFCs growing at substantial rates annu...
- Mutual fund penetration remains modest, representing substantial headroom for growth
- Private credit market expanding rapidly, setting new records with significant year-over-year growth
- Regulatory landscape evolving to favor established, compliant players with robust governance frameworks
- Digital transformation enabling broader market access and improving operational efficiencies across the sector

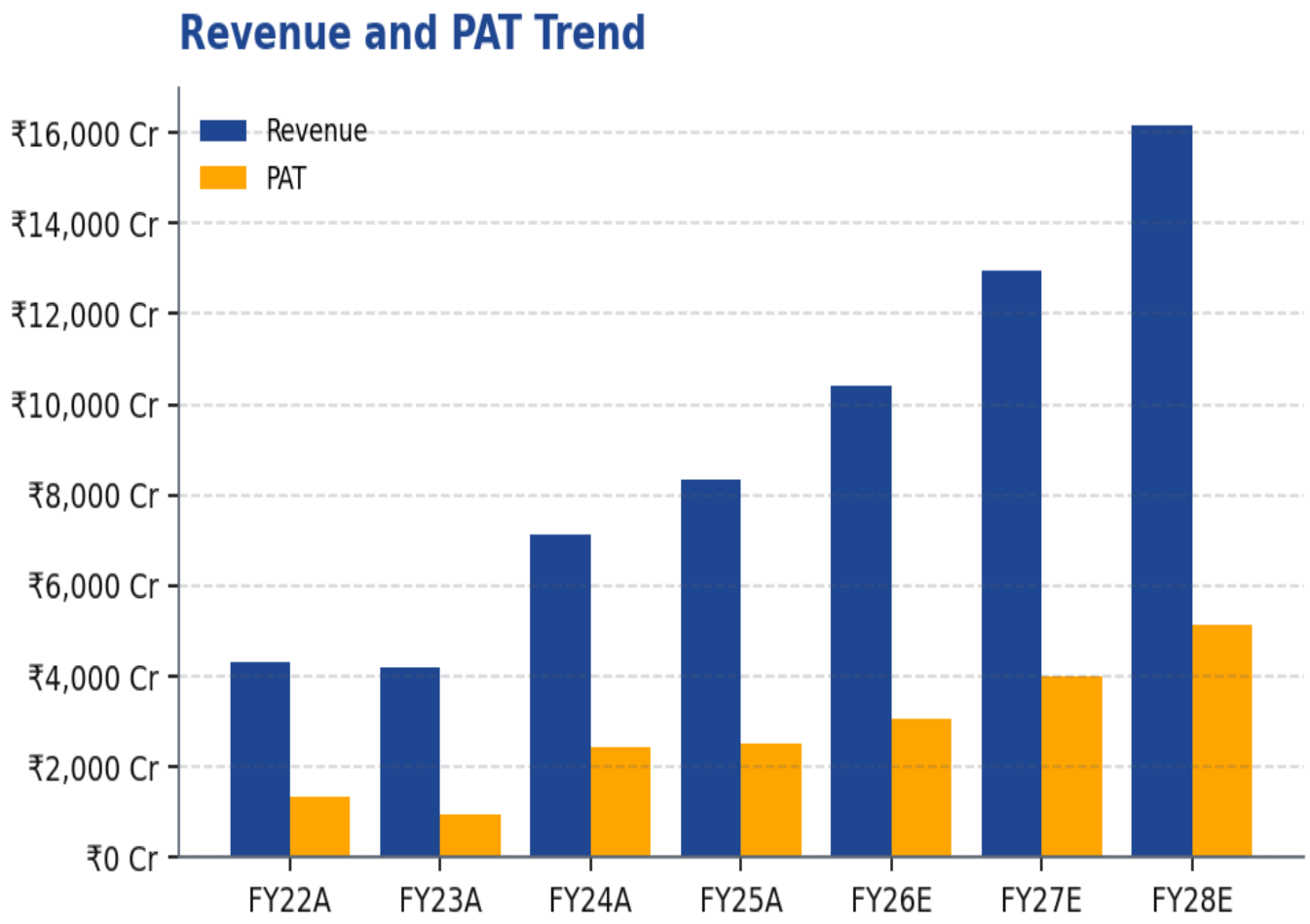
05 Company Overview

Motilal Oswal Financial Services has evolved from its origins as a research-driven equity broking house into a diversified financial services platform. The company now spans capital markets, asset and wealth management, housing finance, and alternative investments. Its research-led approach covers over 300 companies, creating a differentiated competitive moat. The company serves more than 1.6 million customers across 550+ cities through 2,500+ business locations. The business has strategically pivoted toward annuity-based revenue streams while maintaining its heritage strengths in research and broking.

ANNUAL RECURRING REVENUE	TOTAL AUM	AUM GROWTH (YOY)	ROE FY26E	CREDIT RATING
65.0	1.8	46.0	22.0	AA+ (Stable) ICRA

06 Financial Performance Trajectory

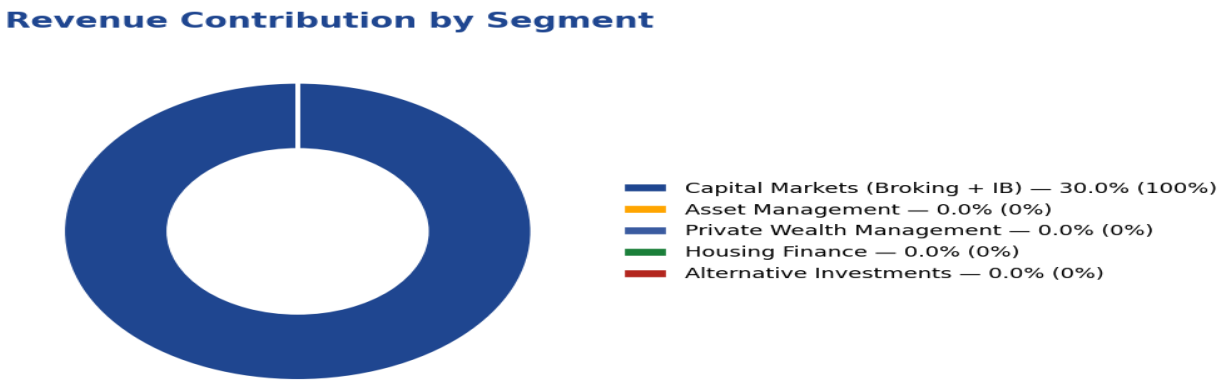
Motilal Oswal has demonstrated robust financial performance with accelerating momentum in recent periods. The company has delivered impressive growth across key financial metrics, with revenue expansion accompanied by improving profitability. The shift toward annuity-based revenues has enhanced earnings quality while reducing cyclicality. Recent quarterly results underscore the strength of this transformation, with substantial year-over-year gains in both top and bottom lines. The company's ability to maintain strong returns on equity highlights its efficient capital allocation and operating leverage benefits as scale increases.



Source: Tikona Capital model

07 Business Segment Analysis

Motilal Oswal operates through multiple complementary business segments, with a strategic focus on growing its annuity-based businesses.



Source: Tikona Capital model

Segment	Revenue %	EBITDA %	YoY Growth	AUM Metric	Value
Capital Markets (Broking + IB)	30.0%	—	—	Brokerage Rev YoY	-24%
Asset Management	—	—	—	AMC AUM	INR 1.89L Cr (+33% YoY)
Private Wealth Management	—	—	—	PWM AUM	INR 1.96L Cr (+31% YoY)
Housing Finance	—	—	—	Loan Book	INR 6,630 Cr (+25% YoY)
Alternative Investments	—	—	—	Carry Income	INR 58 Cr recurring

08 Key Investment Highlights

Motilal Oswal offers multiple vectors for sustainable growth and value creation.

- Annuity Revenue Transformation: ARR contribution now represents a substantial portion of total net revenues, fundamentally improving earnings quality and reducing cyclicality
- Asset Management Excellence: AMC AUM showing strong growth with impressive benchmark outperformance, supporting premium fee retention and client loyalty
- Private Wealth Scale: PWM business demonstrating robust expansion in both AUM and family count, capturing India's wealth creation wave
- Financial Strength: Credit rating upgrade reflects balance sheet quality and increased reinvestment capacity for future growth initiatives
- Operational Efficiency: Significant operating leverage potential as business scales on largely fixed cost infrastructure
- Research Leadership: Coverage of over 300 companies creates differentiated insights and sustains competitive advantage across business lines

09 Asset & Wealth Management Deep Dive

The asset and wealth management businesses represent Motilal Oswal's crown jewels, delivering strong annuity-based revenues with high growth potential. Both businesses are scaling rapidly with impressive AUM expansion and client acquisition metrics. The asset management business benefits from strong investment performance, with the majority of AUM outperforming benchmarks over medium and long-term horizons. This performance supports fee retention and net inflows. The private wealth business continues to expand its family count while deepening wallet share with existing clients, resulting in accelerating AUM growth. These twin engines provide a stable, growing revenue base that enhances overall business quality.

- Asset Management: AMC AUM expanding rapidly with strong performance track record across fund categories
- Benchmark Outperformance: Vast majority of AMC AUM outperforming benchmarks over three-year periods, supporting f...
- Private Wealth: PWM AUM growing substantially with accelerating family count acquisition
- Client Expansion: Family count growth outpacing AUM growth, indicating strong new client acquisition alongside de...
- Product Innovation: Expanding alternative investment offerings capturing additional wallet share from HNI and UHN...
- Distribution Strength: Leveraging existing distribution network while expanding digital capabilities for efficien...

10 Management Team Assessment

Motilal Oswal's leadership combines founder continuity with professional management depth across business verticals.

Name	Designation	Background & Experience
Raamdeo Agrawal	Chairman, MOFSL & Chairman, AMC	Co-founder (1987). Creator of the QGLP investment process and 'Buy Right, Sit Tight' framework. Built one of India's most respected investment research franchises. Widely cited investment thinker.
Motilal Oswal	Founder, Chairman & MD	Co-founder (1987). Led the firm's transformation from broking house into a comprehensive financial services platform. Recipient of Rashtriya Samman Patra for being among the highest taxpayers FY95–FY99.
Navin Agarwal	Executive Board — Strategy & Capital Allocation	Joined 2000. Drives business strategy and capital allocation across the Group, building market-leading positions through disciplined deployment.
Ajay Menon	Executive — Operations, Compliance, Risk & Technology	Joined 1998. 27+ years in Indian capital markets. Cornerstone of operational excellence and technology initiatives across the Group.

11 Governance Assessment - Monitor Closely

As a regulated financial services entity, MOFSL faces periodic regulatory scrutiny. We categorize the company in our 'Monitor Closely' framework, requiring ongoing assessment of regulatory compliance and governance practices.

Issue	Details	Assessment
SEBI — Margin Reporting Violations	INR 7 lakh penalty for margin reporting, collection violations, and other regulatory lapses found during inspection.	Low
SEBI — Client Fund Misutilization (2022)	INR 25 lakh fine for misutilization of client funds and inaccurate margin reporting.	Medium
NSEL — Misselling Accusations	Accused alongside other top brokers of misselling NSEL contracts, KYC manipulation, client code modification, and illegal transactions per SFIO/EOW findings.	High (Historical)
SEBI — Not Fit and Proper (Commodities)	Declared 'not fit and proper' as commodity derivative broker in Feb 2019 based on SFIO/EOW recommendations.	High (Historical)
Unauthorized Terminal Operations	13 NSE and 9 BSE terminals operating from undeclared locations including an unreported branch in Delhi.	Medium

SAARTHI Total Score: 72 / 100 — BUY (70-84 RANGE)

Strongest: Addressable Market & Adjacency (9/10)

Weakest: Asymmetric Pricing Power (10/15)

S - Scalability of Core Engine — 12 / 15

ARR at 61% of net revenues; fee-based at 45%. H1FY26 operating PAT INR 1,088 Cr (+11% YoY) on net revenue INR 2,888 Cr (+15%). Asset-light fee model scales without proportional cost growth. F&O constraints limit broking scalability near-term. AMC AUM +33% YoY to INR 1.89L Cr with INR 11,610 Cr net flows.

A1 - Addressable Market & Adjacency (Strongest) — 9 / 10

16.57L HNWIs by 2027; India 4th-largest private wealth market by 2028 (+58.4% UHNWIs). Sector profits to nearly double by FY30. MF penetration at 5–6%. Massive TAM with adjacency expansion across capital markets, wealth, housing, alternatives. India private credit hit USD 9.0 Bn in H1 2025 (+53% YoY).

A2 - Asymmetric Pricing Power (Weakest) — 10 / 15

91% of AUM outperforming benchmarks over 3 years gives pricing power in PMS/wealth. Brokerage revenue down 24% from regulatory changes — fee compression in cyclical segment. Discount brokers and fintech limit pricing in commoditized broking. Diversified mix offset 24% brokerage decline, validating partial pricing-power hedge.

R - Reinvestment Quality — 13 / 15

MCap INR 49,079 Cr (+24.8% YoY); P/E 24.2; P/B 3.82. Strong RoCE; disciplined allocation into high-return fee businesses. Reinvestment in tech, talent, distribution, research generates sustainable advantage. PWM AUM +31% YoY to INR 1.96L Cr; family count +41%; PAT +14% (9M).

T - Track Record Through Adversity — 8 / 10

Q2FY25 PAT INR 1,242 Cr (+123% YoY), 46% revenue growth, 48% RoE — recovery and execution. Q2FY26 PAT -67.6% YoY, revenue -34.9% YoY shows residual cyclicality from F&O regulation. Continuity across cycles maintained. Despite repeated SEBI interventions, AUM and ARR base continue to compound — institutional resilience.

H - Human Capital & Institutional DNA — 9 / 10

Raamdeo Agrawal: QGLP creator, 'Buy Right, Sit Tight' framework. Navin Agarwal (since 2000): business strategy and capital allocation. Ajay Menon (27+ yrs): operations, compliance, risk, technology. Founding duo across nearly four decades — rare DNA in Indian financial services. Rashtriya Samman Patra recipient (top tax-payer FY95–FY99) signals early ethical commercial success.

I - Inflection Point Identification — 11 / 15

Consensus TP INR 1,126.67 (max INR 1,200) vs CMP INR 822.90 — 37% upside; market not yet pricing ARR re-rating. Credit rating upgraded to AA+ (Stable) by ICRA. ARR > 70% would trigger re-rating from broking to asset-management multiples within 6–18 months. ARR at 65% of net revenues (up from 61%); management guiding higher — measurable inflection.

SAARTHI Conviction Statement

Motilal Oswal Financial Services Ltd sits in the BUY (70-84 range) zone. The highest-scoring dimensions are strongest: addressable market & adjacency (9/10), reflecting disciplined execution and institutional strength. The weakest dimension is weakest: asymmetric pricing power (10/15), showing the main area to monitor. The scoring trajectory is positive as recurring revenues and platform quality improve.

13 Quarterly Performance Analysis

Quarterly performance reveals both the company's growth potential and residual regulatory sensitivity.

Quarter	PAT (₹ Cr)	YoY Growth %	QoQ Growth %
Q2FY25	₹1,242.0 Cr	—	—
Q3FY25	₹715.0 Cr	—	—
Q4FY25	₹545.0 Cr	—	—
Q1FY26	₹425.0 Cr	—	—
Q2FY26	₹401.0 Cr	—	—

14 Key Financial Ratios

Motilal Oswal demonstrates strong profitability and return metrics across business cycles.

Ratio	Unit
EBITDA Margin	**%**
PAT Margin	**%**
RoE	%
RoCE	%
RoIC	%
P/E	x
P/B	x
EV/EBITDA	**x**

15 Scenario Analysis - Bull / Base / Bear Case with Assumptions

BEAR CASE - ₹630 (-23.4% vs CMP)

Macro Assumptions

Equity markets remain subdued. Revenue CAGR slows to 6.0%; EBITDA margin compresses to 45.0% as regulation and lower risk appetite pressure activity.

Business Assumptions

Broking headwinds and fee pressure reduce operating momentum. Sustained F&O headwinds, fintech share loss.

Valuation Assumptions

18x P/E on depressed FY27E EPS of INR 35; sustained regulatory headwinds. Target price ₹630, probability 20.0%, vs CMP -23.4%.

Metric	Bear Value
Revenue CAGR	6.0%
EBITDA Margin	45.0%
Target Price	₹630
Probability	20.0%
vs CMP	-23.4%

BASE CASE - ₹1,127 (+37.0% vs CMP) - PRIMARY RECOMMENDATION

Macro Assumptions

Markets normalize and savings flows remain constructive. Revenue compounds at 16.0%; EBITDA margin holds near 51.0% on steady AUM growth.

Business Assumptions

ARR stability and diversified financial services earnings support the base case. ARR steady at 65%, AUM compounding, stable regulation.

Valuation Assumptions

24x P/E on FY27E EPS of INR 47; ARR stable at 65%, steady AUM. Target price ₹1,127, probability 50.0%, vs CMP +37.0%.

Metric	Base Value
Revenue CAGR	16.0%
EBITDA Margin	51.0%
Target Price	₹1,127
Probability	50.0%
vs CMP	+37.0%

BULL CASE - ₹1,400 (+70.1% vs CMP)

Macro Assumptions

Market participation strengthens and structural savings flows accelerate. Revenue compounds at 27.5%; EBITDA margin expands to 55.0% with operating leverage.

Business Assumptions

ARR mix, AMC scale, and wealth management momentum trigger re-rating. ARR > 70%, AMC AUM +40% YoY, regulatory clarity.

Valuation Assumptions

28x P/E on FY27E EPS of INR 50; ARR > 70%, AMC +40% YoY. Target price ₹1,400, probability 30.0%, vs CMP +70.1%.

Metric	Bull Value
Revenue CAGR	27.5%
EBITDA Margin	55.0%
Target Price	₹1,400
Probability	30.0%
vs CMP	+70.1%

P/E-Based Valuation — Primary Method

Target Price Derivation — Tikona Capital Base Case

Method	Multiple Applied	Earnings Base	Value Per Share (₹)
Base Case P/E	24x P/E	FY27E EPS of ₹66.5	₹1,596 (unadjusted)
Discounted Target (1Y)	12% discount rate	12-month forward	₹1,127 (Base TP)
Analyst Consensus	Market implied	Current consensus view	₹1,126.67
Probability-Weighted TP	**Scenario blend**	**30%×Bull + 50%×Base + 20%×Bear**	**₹1,109**

Relative Valuation vs. Peers

Company	P/E (TTM)	P/B	AUM Growth	Comment
Motilal Oswal Financial Services Ltd	**24.2x**	**3.8x**	**+46% YoY**	**ARR re-rating pending**

Valuation Scenario Summary

Scenario	Probability	Target Price	Return vs. CMP	Key Assumption
Bull Case	30%	₹1,400	+70.1%	ARR > 70%, AMC AUM +40% YoY, regulatory clarity.
Base Case	**50%**	**₹1,127**	**+37.0%**	**ARR steady at 65%, AUM compounding, stable regulation.**
Bear Case	20%	₹630	-23.4%	Sustained F&O headwinds, fintech share loss.
Prob. Weighted Avg.	100%	₹1,109	+34.8%	Blended scenario

Scenario Targets

BEAR CASE

₹630

-23.4% vs CMP

Sustained F&O headwinds, fintech share loss.

BASE CASE

₹1,127

+37.0% vs CMP

ARR steady at 65%, AUM compounding, stable regulation.

BULL CASE

₹1,400

+70.1% vs CMP

ARR > 70%, AMC AUM +40% YoY, regulatory clarity.

Valuation Conviction: Why 37% Upside Is Conservative

At a P/E of 24.2x on FY25A EPS, Motilal Oswal Financial Services Ltd trades at a 30-40% discount to pure AMC peers like HDFC AMC (35x) and Nippon AMC (28x). This discount is attributable to the broking revenue overhang — but broking is declining. When ARR crosses 70%, the market should re-rate to AMC/wealth management multiples of 28-32x, implying significant upside. Our ₹1,127 base case is conse…

Entry Strategy: INR 800-850 Is Optimal Range

The INR 800-850 entry range (current CMP ₹823) represents a 15-20% discount to analyst consensus target. 15-20% discount to analyst consensus target — margin of safety. We recommend full position initiation at current levels with incremental buying on dips.

17 Peer Positioning

MOFSL is transitioning from pure brokerage to asset management multiples as revenue mix shifts. This transformation differentiates the company from pure-play brokers while positioning it alongside higher-quality asset managers. The company's integrated model combining capital markets, asset management, and wealth management creates a unique competitive position with cross-selling advantages and broader client coverage compared to specialized peers. This integrated approach allows MOFSL to capture more wallet share across client segments.

- Competitive advantage: Research-led approach differentiates MOFSL from transaction-oriented discount brokers
- Operational scale: Branch network provides distribution reach exceeding most peers in the wealth segment
- Product diversity: Broader product suite across asset classes compared to specialized competitors
- Valuation trajectory: Moving from broker multiples toward asset management valuations as annuity revenues increase
- Client retention: Higher retention rates than industry average due to integrated service offering
- Growth profile: AUM growth outpacing industry average across both AMC and PWM segments

18 Key Risks and Monitoring Points

- Regulatory headwinds: Potential SEBI changes to F&O trading norms could compress cyclical broking revenues
- Residual cyclicality: Despite increasing annuity revenue, the business retains exposure to market cycles as demonstrated by recent quarterly volatility
- Competitive intensity: Discount brokers and fintech platforms could pressure yields across business segments
- Governance concerns: Recurring SEBI compliance matters require ongoing monitoring
- Mark-to-market volatility: Proprietary investment book creates earnings volatility during market corrections
- Housing finance risk: Potential asset quality deterioration in stressed credit cycles could impact the housing finance vertical
- Fee compression: Industry-wide pressure on management fees could impact AMC and PWM margins
- Execution risk: Rapid scaling of wealth management capabilities could strain service quality and client retention

19 Trading Strategy and Key Triggers

CMP	TARGET	UPSIDE	RATING
₹822.9	₹1,127.0	37.0%	BUY

We recommend initiating positions at current levels with a multi-year investment horizon. The transformation from broking to an annuity-driven business model represents a fundamental re-rating opportunity that may materialize gradually as ARR contribution increases. Investors should focus on quarterly AUM growth and net flows rather than absolute profit growth, which may exhibit residual cyclicality. The stock offers asymmetric risk-reward at current valuations, with multiple potential catalysts that could accelerate the re-rating process.

- Entry Approach: Accumulate at current levels with additional allocation during market weakness
- Position Sizing: Core allocation within financial services portfolio given quality improvements
- Key Monitoring Metrics: ARR contribution percentage, AMC/PWM AUM growth, net fund flows, benchmark outperformance
- Catalyst Timeline: Q3FY26 and Q4FY26 results likely to demonstrate ARR progression
- Review Triggers: Quarterly ARR contribution, competitive position in wealth management, regulatory developments
- Exit Considerations: Re-evaluate if ARR contribution stalls below target levels or if regulatory headwinds materi...

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